

Article | 20 July 2026

POLAND

Strong June data boosts Poland's growth outlook despite rising external risks

June's industry and construction data saw solid gains, with second-quarter momentum building despite both turmoil in the Middle East and higher oil prices. At the same time, wage and employment data reflects a balanced labour market contributing to disinflation. Still, renewed tensions in the Persian Gulf are adding a fresh layer of uncertainty



The economic impact of the US-Iran war has proven less severe than previously feared so far for Poland. We see upside risks to this year's GDP growth forecasts

Industry outperforming regional peers, but growth remains uneven

Poland's industrial output increased by 7.6% year-on-year in June, up from 4.1% YoY in May. Domestic industry appears to be weathering global headwinds stemming from higher oil prices and mounting competitive pressure from Asia better than many of its European peers. At the same time, we see signs of a K-shaped rebound and an uneven recovery, with some manufacturing divisions performing well while others, including old export leaders, continue to

struggle.

Strong growth was recorded in sectors reflecting expanding public investment and defence spending (e.g., machine repairs), export sectors like the manufacturing of other transport equipment (+24.9% YoY), paper and paper products (+19.0% YoY), and waste collection, treatment and disposal (+16.5% YoY). By contrast, output declined in the manufacture of tobacco products (-10.2% YoY), textiles (-7.0% YoY), and furniture (-2.5% YoY), while competitive pressure from Asian producers continues to intensify.

The June ceasefire between the US and Iran, and the resulting decline in oil and natural gas prices, eased pressure on producer prices last month. PPI inflation slowed to 1.7% YoY from 2.4% in May. Producer prices are no longer in deflation, but the return to positive inflation largely reflects the initial energy shock linked to the Gulf conflict, while some sectors continue to reflect disinflationary trends. The conditions deteriorated again in July, however, which may weigh on manufacturing performance in the coming months and push PPI inflation higher once more.

Construction up, driven by advanced public investment cycle and growing civil engineering

The construction output increased by 5.2% YoY in June, following a 3.9% YoY rise in May, as the sector continues to recover from adverse weather conditions at the beginning of the year that led to double-digit declines in production. The inflow of EU funds from the Recovery and Resilience Facility (RRF) and cohesion policy programmes is supporting public investment.

In June, we observed strong growth in infrastructure investment, with civil engineering output rising by 18.7% YoY. At the same time, specialised construction activities and building construction recorded declines. The latter most likely reflects weakness in residential construction, where an overhang of unsold dwellings remains close to 6 months of sales vs multi-year average at 3.

Nevertheless, 2Q26 brought a marked improvement in the construction sector, with output increasing by around 4.5% YoY following a sharp decline of 8.0% YoY in 1Q26. This suggests that investment activity gained momentum after a weak start to the year, although it likely remains more buoyant in the public sector than in the private sector.

Labour market showing signs of softening despite overall tightness

Wage growth remained below 6% YoY for the third consecutive month, reaching 5.9% YoY in June, while employment in the enterprise sector continued to decline (-0.9% YoY). Softer wage growth was particularly evident in services, including accommodation and food services, transport and logistics, and IT.

Wage pressures are easing, and business surveys indicate a decline in the share of companies planning wage increases, as well as smaller planned pay rises. Employees' bargaining power has weakened as labour demand has softened in some sectors.

Diminishing wage pressures would be welcomed by monetary policymakers, as the labour market is no longer a significant source of inflationary pressure. Wage growth is currently broadly consistent with core inflation stabilising around the central bank's target. The labour market is no longer pro-inflationary and may even contribute to easing inflation pressures going forward.

Bottom line

Despite the outbreak of conflict in the Middle East, this year's second quarter has turned out to be an improvement from the first for Polish industry and construction. Activity in retail trade and services was presumably softer than at the beginning of the year, but the overall picture emerging from the available data is positive nevertheless.

GDP growth, both in annual terms and on a seasonally adjusted quarter-on-quarter basis, was probably stronger in 2Q26 than in the previous quarter, posing upside risks to our 2026 growth forecast of 3.4%. Given the scale of the geopolitical risks involved, we maintain our cautious forecast. However, it appears that the negative impact of the conflict between the US and Iran (alongside the blockade of the Strait of Hormuz) on economic activity and inflation in Poland has been less severe than previously feared.

Author

Rafal Benecki

Chief Economist, Poland
rafal.benecki@ing.pl

Adam Antoniuk

Senior Economist, Poland
adam.antoniuk@ing.pl

Michal Rubaszek

Senior Economist, Poland
michal.rubaszek@ing.pl

Mateusz Sutowicz

Senior Economist, Poland
mateusz.sutowicz@ing.pl

Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("ING") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies)*. The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit www.ing.com.